NOMURA

Global Markets Research
6 July 2026

Zhongji InnoLight 300308.SZ 300308 CH

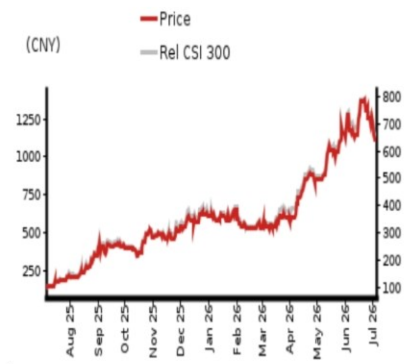
EQUITY: TECHNOLOGY

We expect secular growth beyond 2027...

...Driven by 2.4T/3.2T transceivers, NPO and CPO

Rating Remains	**Buy**
Target price Increased from CNY 1,015.00	**CNY 1,325.00**
Closing price 6 July 2026	**CNY 1,098.92**
Implied upside	**+20.6%**
Market Cap (USD mn)	181,397.6
ADT (USD mn)	4,469.0

Relative performance chart



Source: LSEG, Nomura

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Action: Maintain Buy; raise TP to CNY1,325, implying 20.6% upside

Despite recent share price pull-back in the AI infra sector, we think the fundamental growth driver for InnoLight remains unchanged in FY26-28F: 1) 1.6T and Silicon photonics (SiPh) transceiver upgrade; and 2) NPO (Near-field packaging optics) / CPO (Co-packaged optics) market expansion. Although there are concerns about component shortages, as well as double bookings from hyperscale AI customers, we think high-end optical communication products remain key bottlenecks in the AIDC market. We **raise** our **FY27/28F global shipment forecasts for 800G transceivers to 55mn / 78mn units** (from 50mn / 71.5mn), and **1.6T to 71.5mn / 126mn units** (from 60mn / 110mn), while we also **factor in 2mn / 5mn units of 2.4T in FY27/28F, and 2mn units of 3.2T in 2028F**. We expect the company to **maintain 30%~35% market share** in the global AIDC transceiver market due to strong R&D and effective supply chain management. We raise our FY27-28F revenue / earnings forecasts by 28-37%/30-38% (*Fig. 1*) to reflect the strong product upgrade, as well as margin expansion. Hence, we maintain our Buy rating and raise TP to CNY1,325, based on 20x (unchanged) FY27F EPS of CNY66.06, in line with WIND's China A share tech/electronic component sector median P/E. The stock is trading at 16.6x FY27F EPS.

Component shortage to ease in the long-term, while the company's leadership to remain in the high-end transceiver and NPO / CPO markets

Due to the buoyant demand for high-end optical transceivers (especially 1.6T), the entire supply chain is striving to fulfil the end customers' demand, but supply bottlenecks remain in the near-term, from upstream material (i.e. InP wafer), equipment (i.e. MOCVD machine), and components (i.e. 200G EML), owing to yield ramp-up and supply chain disruption, in our view. **We estimate 25% / 22% q-q revenue / earnings growth in 2Q26F**. However, we think in the long-term (likely from 2028F), the supply shortage will ease owing to increased capacity expansion from dedicated players in China, Japan, and the US. Recently, Nikkei reported that JX Advanced Metals [5016 JP] (Neutral, covered by Daiki Ban) will expand production capacity for **indium phosphide (InP) wafer to 7–10x the 26/3 level** (see Nomura *report*) in around 5 years. We think InnoLight's leadership in the optical communication market will solidify in the high-end transceiver (2.4T / 3.2T) and NPO / CPO markets, which should lead to sustainable growth from 2028F onwards.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	38,240	122,105	122,105	204,546	261,031	271,717	371,545
Reported net profit (mn)	10,797	32,433	33,654	56,525	73,396	75,374	103,944
Normalised net profit (mn)	10,797	32,433	33,654	56,525	73,396	75,374	103,944
FD normalised EPS	9.72	29.19	30.29	50.87	66.06	67.84	93.55
FD norm. EPS growth (%)	110.7	200.4	211.7	74.3	118.1	33.3	41.6
FD normalised P/E (x)	113.1	–	36.3	–	16.6	–	11.7
EV/EBITDA (x)	83.6	–	27.7	–	12.4	–	8.2
Price/book (x)	41.0	–	21.1	–	10.2	–	5.9
Dividend yield (%)	0.1	–	0.5	–	1.0	–	1.4
ROE (%)	44.2	74.8	76.8	70.2	82.8	55.5	63.8
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Production Complete: 2026-07-06 11:03 UTC

Key data on Zhongji InnoLight

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-6.9	81.2	688.0	M cap (USDmn)	181,397.6
Absolute (USD)	-7.2	83.6	731.4	Free float (%)	68.1
Rel to CSI 300	-7.4	72.1	666.4	3-mth ADT (USDmn)	4,469.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	23,862	38,240	122,105	261,031	371,545
Cost of goods sold	-15,796	-22,166	-66,275	-140,825	-199,824
Gross profit	8,067	16,074	55,830	120,206	171,721
SG&A	-2,170	-2,170	-13,033	-29,168	-43,374
Employee share expense					
Operating profit	5,897	13,905	42,796	91,038	128,347
EBITDA	6,442	14,644	43,304	91,633	129,009
Depreciation	-545	-740	-508	-595	-663
Amortisation					
EBIT	5,897	13,905	42,796	91,038	128,347
Net interest expense	144	-183	-584	-1,248	-1,776
Associates & JCEs					
Other income	11	-122	-390	-834	-1,188
Earnings before tax	6,052	13,600	41,822	88,956	125,383
Income tax	-681	-2,020	-6,212	-13,212	-18,622
Net profit after tax	5,372	11,580	35,610	75,744	106,761
Minority interests	-200	-782	-1,956	-2,347	-2,817
Other items					
Preferred dividends					
Normalised NPAT	5,171	10,797	33,654	73,396	103,944
Extraordinary items					
Reported NPAT	5,171	10,797	33,654	73,396	103,944
Dividends	-845	-1,764	-5,498	-11,991	-16,981
Transfer to reserves	4,327	9,033	28,156	61,406	86,963

Valuations and ratios

	FY24	FY25	FY26F	FY27F	FY28F
Reported P/E (x)	238.2	113.1	36.3	16.6	11.7
Normalised P/E (x)	238.2	113.1	36.3	16.6	11.7
FD normalised P/E (x)	238.2	113.1	36.3	16.6	11.7
Dividend yield (%)	0.1	0.1	0.5	1.0	1.4
Price/cashflow (x)	389.3	112.1	35.2	16.2	11.9
Price/book (x)	64.4	41.0	21.1	10.2	5.9
EV/EBITDA (x)	191.0	83.6	27.7	12.4	8.2
EV/EBIT (x)	208.7	88.1	28.0	12.5	8.2
Gross margin (%)	33.8	42.0	45.7	46.1	46.2
EBITDA margin (%)	27.0	38.3	35.5	35.1	34.7
EBIT margin (%)	24.7	36.4	35.0	34.9	34.5
Net margin (%)	21.7	28.2	27.6	28.1	28.0
Effective tax rate (%)	11.2	14.9	14.9	14.9	14.9
Dividend payout (%)	16.3	16.3	16.3	16.3	16.3
ROE (%)	31.0	44.2	76.8	82.8	63.8
ROA (pretax %)	29.1	47.9	105.4	165.1	173.9

Growth (%)

	FY24	FY25	FY26F	FY27F	FY28F
Revenue	122.6	60.3	219.3	113.8	42.3
EBITDA	150.4	127.3	195.7	111.6	40.8
Normalised EPS	70.4	110.7	211.7	118.1	41.6
Normalised FDEPS	70.4	110.7	211.7	118.1	41.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	6,442	14,644	43,304	91,633	129,009
Change in working capital	-4,452	-910	275	1,279	-2,093
Other operating cashflow	1,174	-2,839	-8,914	-17,414	-24,175
Cashflow from operations	3,165	10,896	34,665	75,498	102,742
Capital expenditure	-2,866	-2,760	-2,460	-2,160	-1,860
Free cashflow	298	8,136	32,205	73,338	100,882
Reduction in investments	0	0	0		
Net acquisitions					
Dec in other LT assets	0	0	0		
Inc in other LT liabilities	917	130	0	0	0
Adjustments	-993	12	0		
CF after investing acts	223	8,278	32,205	73,338	100,882
Cash dividends	-845	-1,764	-5,498	-11,991	-16,981
Equity issue	246	205	0	0	0
Debt issue	1,685	-1,114	500	500	500
Convertible debt issue					
Others	428	328	0	0	0
CF from financial acts	1,514	-2,344	-4,998	-11,491	-16,481
Net cashflow	1,737	5,933	27,207	61,848	84,401
Beginning cash	3,317	5,054	10,987	38,193	100,041
Ending cash	5,054	10,987	38,193	100,041	184,442
Ending net debt	-2,377	-9,391	-36,098	-97,446	-181,346

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	5,054	10,987	38,193	100,041	184,442
Marketable securities					
Accounts receivable	4,988	6,635	8,629	10,962	13,597
Inventories	7,051	12,681	21,536	34,422	51,577
Other current assets	1,103	781	781	781	781
Total current assets	18,196	31,084	69,139	146,206	250,396
LT investments					
Fixed assets	5,872	8,503	10,455	12,020	13,217
Goodwill	378	378	291	205	118
Other intangible assets	4,420	5,325	5,184	5,042	4,901
Other LT assets					
Total assets	28,866	45,289	85,069	163,473	268,632
Short-term debt	2,070	1,086	1,586	2,086	2,586
Accounts payable	4,417	10,446	21,570	38,068	55,765
Other current liabilities	10	27	27	27	27
Total current liabilities	6,497	11,558	23,182	40,180	58,377
Long-term debt	606	510	510	510	510
Convertible debt					
Other LT liabilities	1,470	1,599	1,599	1,599	1,599
Total liabilities	8,573	13,668	25,292	42,290	60,486
Minority interest	1,159	1,856	1,856	1,856	1,856
Preferred stock					
Common stock	19,134	29,765	57,921	119,327	206,290
Retained earnings					
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	19,134	29,765	57,921	119,327	206,290
Total equity & liabilities	28,866	45,289	85,069	163,473	268,632

Liquidity (x)

	FY24	FY25	FY26F	FY27F	FY28F
Current ratio	2.80	2.69	2.98	3.64	4.29
Interest cover	–	76.1	73.3	73.0	72.3

Leverage

	FY24	FY25	FY26F	FY27F	FY28F
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

	FY24	FY25	FY26F	FY27F	FY28F
Reported EPS (CNY)	4.61	9.72	30.29	66.06	93.55
Norm EPS (CNY)	4.61	9.72	30.29	66.06	93.55
FD norm EPS (CNY)	4.61	9.72	30.29	66.06	93.55
BVPS (CNY)	17.07	26.79	52.13	107.39	185.66
DPS (CNY)	0.75	1.59	4.95	10.79	15.28

Activity (days)

	FY24	FY25	FY26F	FY27F	FY28F
Days receivable	61.0	55.5	22.8	13.7	12.1
Days inventory	131.1	162.5	94.2	72.5	78.8
Days payable	94.1	122.4	88.2	77.3	85.9
Cash cycle	98.0	95.6	28.9	8.9	4.9

Source: Company data, Nomura estimates

Company profile

Zhongji InnoLight is a China-based company mainly engaged in high-end optical communication transceiver module business and intelligent equipment manufacturing business. The company supplies optical transceiver modules to cloud computing data centers, data communications, 5G wireless networks and telecommunications transmission networks.

Valuation Methodology

Our TP of CNY1,325.00 is based on 20x 2027F EPS of CNY66.06, in line with the WIND China's A share tech / electronic component sector median P/E range. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

ESG

Zhongji InnoLight, as a social responsibility, offers infrastructure products to telecom network and data centers. The manufacturing of optical modules requires land, equipment and other materials, which may impact the environment, while factory automation may help to improve its environmental friendliness.

Earnings forecast revisions

We raise our FY26-28F revenue forecasts by 0-37% to reflect the strong demand for high-end transceiver products such as 1.6T/3.2T transceivers, as well as business expansion into NPO/CPO. We raise our FY26F-28F GPM by 2.2-3.9pp to reflect a better product mix from 1.6T and SiPh-based products. As a result, our FY26-28F earnings forecasts increase by 4-38%.

Fig. 1: Innolight – earnings forecast revisions

(CNY mn)	2022	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	Diff.	Diff.	Diff.
Revenue	9,642	10,718	23,862	38,240	122,105	261,031	371,545	122,105	204,546	271,717	0%	28%	37%
% chg yoy	25.3%	11.2%	122.6%	60.3%	219.3%	113.8%	42.3%	219.3%	67.5%	32.8%			
COGS	(6,816)	(7,182)	(15,796)	(22,166)	(66,275)	(140,825)	(199,824)	(71,070)	(116,724)	(152,214)	-7%	21%	31%
Gross Profit	2,826	3,536	8,067	16,074	55,830	120,206	171,721	51,035	87,822	119,504	9%	37%	44%
OPEX	(1,428)	(1,348)	(2,170)	(2,170)	(13,033)	(29,168)	(43,374)	(10,591)	(18,151)	(26,829)	23%	61%	62%
Operating Income	1,399	2,188	5,897	13,905	42,796	91,038	128,347	40,443	69,671	92,674	6%	31%	38%
% chg yoy	55.6%	56.4%	169.5%	135.8%	207.8%	112.7%	41.0%	190.9%	72.3%	33.0%			
Finance Expense	22	84	144	(183)	(584)	(1,248)	(1,776)	(584)	(978)	(1,299)			
Other gains/expense	(69)	221	11	(122)	(390)	(834)	(1,188)	(390)	(654)	(869)			
Pretax income	1,352	2,492	6,052	13,600	41,822	88,956	125,383	39,469	68,039	90,507	6%	31%	39%
% chg yoy	40.8%	84.4%	142.8%	124.7%	207.5%	112.7%	40.9%	190.2%	72.4%	33.0%			
Tax	128	319	881	2,802	8,168	15,560	21,439	7,036	11,514	15,133			
Profit to shareholders	1,224	2,174	5,171	10,797	33,654	73,396	103,944	32,433	56,525	75,374	4%	30%	38%
% chg yoy	39.6%	77.6%	137.9%	108.8%	211.7%	118.1%	41.6%	200.4%	74.3%	33.3%			
EPS	1.53	2.71	5.38	9.67	30.29	66.06	93.55	29.19	50.87	67.84	4%	30%	38%
Ratio Analysis													
GPM	29.3%	33.0%	33.8%	42.0%	45.7%	46.1%	46.2%	41.8%	42.9%	44.0%	3.9pp	3.1pp	2.2pp
OPEX	14.8%	12.6%	9.1%	5.7%	10.7%	11.2%	11.7%	8.7%	8.9%	9.9%	2.0pp	2.3pp	1.8pp
OPM	14.5%	20.4%	24.7%	36.4%	35.0%	34.9%	34.5%	33.1%	34.1%	34.1%	1.9pp	0.8pp	0.4pp
NPM	12.7%	20.3%	21.7%	28.2%	27.6%	28.1%	28.0%	26.6%	27.6%	27.7%	1.0pp	0.5pp	0.2pp

Source: Company data, Nomura estimates

Fig. 2: Innolight - quarterly earnings forecast

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F
	A	A	A	A	A	A	A	A	A	A	A	A
Revenue	4,843	5,956	6,514	6,550	6,674	8,115	10,216	13,235	19,496	24,370	32,900	45,338
% chg yoy	163.6%	174.9%	115.2%	77.6%	37.8%	36.2%	56.8%	102.1%	192.1%	200.3%	222.1%	242.6%
COGS	(3,256)	(3,965)	(4,323)	(4,252)	(4,225)	(4,748)	(5,845)	(7,348)	(10,517)	(13,033)	(17,923)	(24,803)
Gross Profit	1,586	1,991	2,191	2,298	2,449	3,367	4,371	5,887	8,980	11,338	14,977	20,535
OPEX	(467)	(475)	(440)	(788)	(499)	(523)	(652)	(1,006)	(1,227)	(2,358)	(3,183)	(6,266)
Operating Income	1,119	1,517	1,751	1,510	1,950	2,844	3,719	4,882	7,753	8,980	11,794	14,269
% chg yoy	55.4%	156.4%	115.3%	85.7%	74.2%	87.5%	112.4%	223.3%	297.6%	215.8%	217.1%	192.3%
Finance Expense	25	40	(73)	152	17	22	(83)	(139)	(251)	(116)	(157)	(59)
Other gains/expense	30	(2)	5	(22)	22	26	323	17	34	(78)	(105)	(241)
Pretax income	1,175	1,554	1,683	1,640	1,990	2,891	3,959	4,759	7,536	8,786	11,532	13,969
% chg yoy	55.7%	130.7%	64.5%	60.2%	69.3%	86.0%	135.2%	190.2%	278.7%	203.9%	191.3%	193.5%
Tax	166	205	289	221	407	479	823	1,094	1,801	1,794	2,202	2,371
Profit to shareholders	1,009	1,349	1,394	1,419	1,583	2,412	3,137	3,665	5,735	6,992	9,330	11,598
% chg yoy	48.0%	129.3%	58.9%	61.7%	56.8%	78.8%	125.0%	158.3%	262.3%	189.8%	197.4%	216.4%
EPS	1.26	1.20	1.24	1.27	1.43	2.17	2.82	3.30	5.16	0.00	0.00	0.00
Ratio Analysis												
GPM	32.8%	33.4%	33.6%	35.1%	36.7%	41.5%	42.8%	44.5%	46.1%	46.5%	45.5%	45.3%
OPEX	9.6%	8.0%	6.8%	12.0%	7.5%	6.4%	6.4%	7.6%	6.3%	9.7%	9.7%	13.8%
OPM	23.1%	25.5%	26.9%	23.1%	29.2%	35.0%	36.4%	36.9%	39.8%	36.8%	35.8%	31.5%
NPM	20.8%	22.7%	21.4%	21.7%	23.7%	29.7%	30.7%	27.7%	29.4%	28.7%	28.4%	25.6%

Source: Company data, Nomura estimates

Our FY26-28F revenues are 32-67% above WIND consensus estimates, while our FY26-28F earnings are 14-38% above, as we are more positive on shipment volumes, ASP growth and GPM expansion in the 1.6T/3.2T product cycle and NPO/CPO products in FY26-28F.

Fig. 3: Zhongji InnoLight – Nomura vs consensus

(CNY mn)	FY2025	FY2026F			FY2027F			FY2028F		
	Actual	(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	38,240	122,105	92,630	32%	261,031	163,648	60%	371,545	222,794	67%
Pretax Profit	13,600	41,822	37,401	12%	88,956	67,597	32%	125,383	94,001	33%
Net Profit	10,797	33,654	29,643	14%	73,396	56,137	31%	103,944	75,374	38%
EPS	9.67	30.29	26.58	14%	66.06	50.34	31%	93.55	67.59	38%

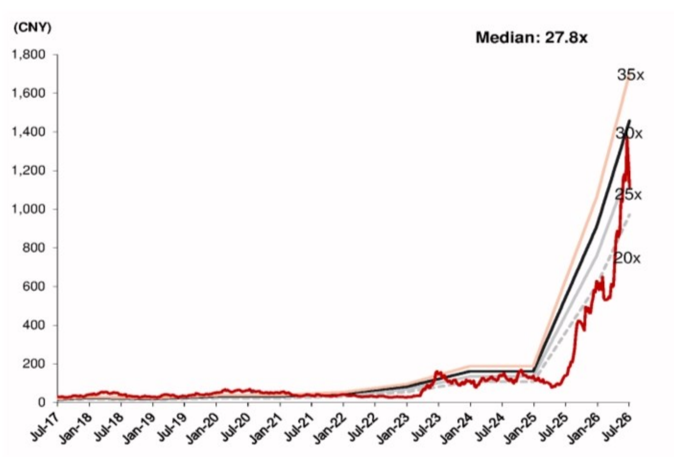
Source: Company data, WIND, Nomura estimates

Valuation and risks

Our new TP of CNY1,325 (vs CNY1,015 previously) is based on rolled forward 20x (unchanged) FY27F EPS of CNY66.06, in line with the consensus median P/E range of WIND's China A-share tech/electronic component companies.

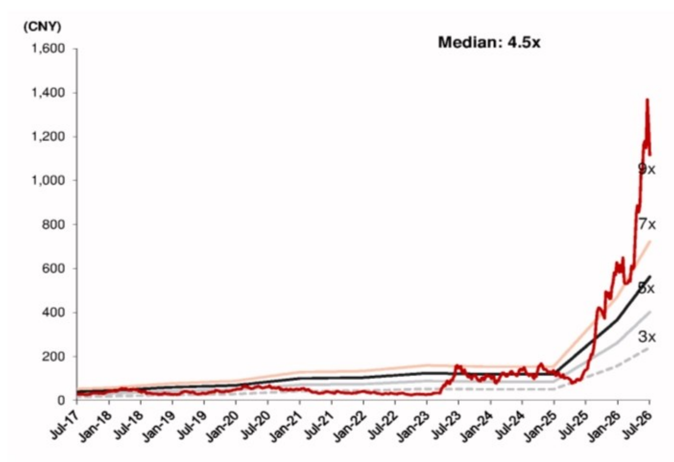
Downside risks: (1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; (2) fierce competition in the 800G/1.6T optical transceivers segments; (3) slower-than-expected product upgrades (i.e.,3.2T and silicon photonics products); and (4) an increase in price competition that might affect the company's exports to global customers.

Fig. 4: Zhongji InnoLight – 12-month-forward P/E bands



Source: Company data, Nomura estimates

Fig. 5: Zhongji InnoLight – 12-month-forward P/B bands



Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 1,098.92	06-Jul-2026	Buy	N/A	

Zhongji InnoLight (300308 CH) **CNY 1,098.92 (06-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Date	Rating	Target price	Closing price
16-Apr-26		1,015.00	809.61
09-Jan-26		799.00	583.20
31-Oct-25		612.00	473.01
27-Aug-25		375.00	325.10
16-Jul-25		208.50	170.76
21-Apr-25		125.00	81.19
04-Mar-25		150.00	102.46
06-Nov-24		190.00	142.90
06-Sep-24		180.00	99.42
16-Jul-24		200.00	148.12
10-May-24		149.29	122.29
29-Feb-24		128.57	110.83
29-Jan-24		91.43	74.16
17-Nov-23		100.00	75.42
06-Oct-23	Buy		82.71
06-Oct-23		98.57	82.71

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY1,325.00 is based on 20x 2027F EPS of CNY66.06, in line with the WIND China's A share tech / electronic component sector median P/E range. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

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As at 30 June 2026.
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STOCKS

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